

American International Group, Inc.

Recommendation **BUY** ★★★★★

Price
USD 59.53 [as of market close Oct 27, 2023] **12-Mo. Target Price** USD 72.00

Report Currency
USD

Investment Style
Large-Cap Value

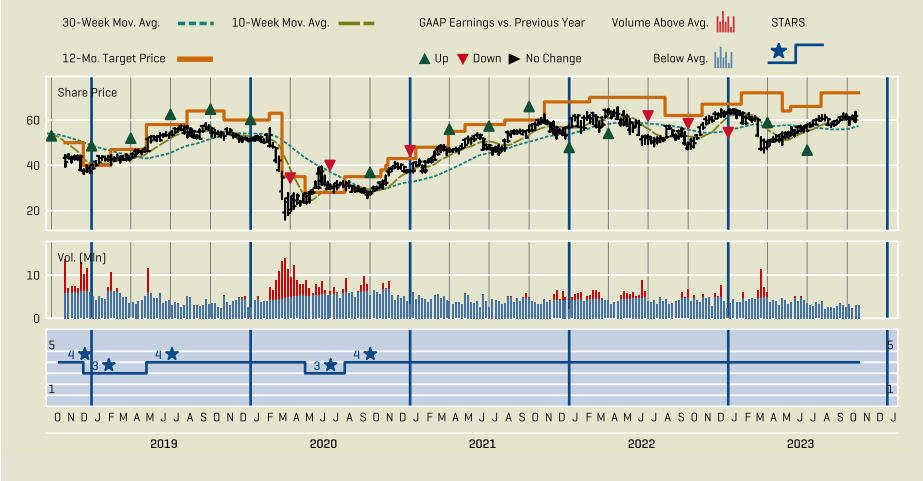
Equity Analyst Catherine Seifert

GICS Sector Financials
Sub-Industry Multi-line Insurance

Summary Rescued by the government in 2008, AIG has undergone a restructuring that included splitting its Life & Retirement business from its General Insurance unit.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)									
52-Wk Range	USD 64.88 - 45.66	Oper.EPS2023E	USD 6.70	Market Capitalization[B]	USD 42.38	Beta	1.12		
Trailing 12-Month EPS	USD 5.4	Oper.EPS2024E	USD 7.60	Yield [%]	2.42	3-yr Proj. EPS CAGR[%]	25		
Trailing 12-Month P/E	11.02	P/E on Oper.EPS2023E	8.89	Dividend Rate/Share	USD 1.44	SPGMI's Quality Ranking	B-		
USD 10K Invested 5 Yrs Ago	16,769.0	Common Shares Outstg.[M]	718.00	Trailing 12-Month Dividend	USD 1.36	Institutional Ownership [%]	92.0		

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Catherine Seifert** on Aug 08, 2023 12:46 AM ET, when the stock traded at **USD 61.91**.

Highlights

- ▶ Following a 4.9% decline in 2022 [versus our forecast of flat revenues to a 4% rise], we project operating revenues to rise by 10%-17% in 2023 and by 5%-10% in 2024. Revenues in 2022 reflected 1.9% higher premiums, a 2.6% drop in policy fees, and a 19% decline in net investment income. Operating revenues exclude investment gains and/or losses, which were \$9.0 billion in 2022 [versus \$2.2 billion in 2021].
- ▶ Underwriting results in 2022 reflected risk mitigation actions AIG has taken, which helped drive down loss and benefits costs by 6.6% in 2022. The combined ratio ended 2022 at 91.7% (88.7% underlying), better than the 95.8% posted in 2021 (91.0%). The rebound in operating profitability AIG produced in 2021 reflected an easing in the level of loss costs and reserve boosts related to Covid-19 and weather-related catastrophes. AIG's 2020 results included catastrophe losses of \$2.5 billion [versus \$1.3 billion in 2019], including about \$1.1 billion related to Covid-19. We see additional restructuring actions in 2023 and applaud AIG's IPO of 12.4% of its Life & Retirement unit, renamed Corebridge Financial, Inc. [CRBG 20 NR].
- ▶ We estimate operating EPS of \$6.70 in 2023, rising to \$7.60 in 2024.

Investment Rationale/Risk

- ▶ Our opinion on the shares is Buy. Longer term, we think AIG will be able to leverage opportunities for growth amid still-healthy demand for insurance coverage and a still-healthy insurance premium pricing environment. We caution that AIG is still not firing on all cylinders and that its turnaround may take longer to realize than many initially thought, though we do applaud the firm's recent restructuring actions. We also think that AIG may need to be more aggressive in its cost-cutting efforts, although the firm is also investing in upgrading its technology infrastructure. We also applaud AIG's efforts to lower the risk in its commercial lines book of business, though steps to de-risk may impede near-term growth.
- ▶ Risks to our recommendation and target price include the possibility that AIG will have to incur additional asset write-downs or reserve boosts.
- ▶ Our 12-month target price of \$72 assumes the shares will trade at 10.7x our 2023 operating EPS estimate of \$6.70 and at 9.5x our 2024 operating EPS estimate of \$7.60. This compares to AIG's three-year average forward multiple of 10x and the peer average of 12.2x.

Analyst's Risk Assessment

LOW **MEDIUM** **HIGH**

AIG's outsized exposure [versus peers in the insurance industry] to the mortgage industry and the credit default swap market led to an emergency bailout by the Federal Reserve in 2008, with additional infusions in early 2009. By December 2012, AIG had repaid the government, which reaped a \$22.7 billion profit on its aid package to AIG. We view AIG's financial position as stable and applaud the steps its leadership team has taken to execute its turnaround. AIG entered 2023 with a new phase of its turnaround complete following the sale and spin-off of a portion of its Life & Retirement unit in 2022.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2023	10,916	13,048	--	--	--
2022	14,959	13,873	14,865	11,073	56,418
2021	14,509	10,533	12,974	14,033	52,049
2020	14,437	9,396	10,222	9,332	43,337
2019	12,456	12,561	12,914	11,847	49,778
2018	11,711	11,630	11,486	12,660	47,487

Earnings Per Share (USD)					
	1Q	2Q	3Q	4Q	Year
2025	E 2.20	E 2.12	E 2.18	E 2.35	E 8.85
2024	E 1.90	E 1.85	E 1.90	E 1.95	E 7.60
2023	1.63	1.75	E 1.52	E 1.80	E 6.70
2022	1.30	1.19	0.66	1.36	4.55
2021	1.05	1.52	0.97	1.58	5.12
2020	0.11	0.66	0.81	0.94	2.52

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.3600	Aug 01	Sep 14	Sep 15	Sep 29 '23
0.3600	May 04	Jun 15	Jun 16	Jun 30 '23
0.3200	Feb 15	Mar 16	Mar 17	Mar 31 '23
0.3200	Nov 01	Dec 14	Dec 15	Dec 29 '22

Dividends have been paid since 1971 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.

Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



American International Group, Inc.

Business Summary Aug 08, 2023

CORPORATE OVERVIEW. AIG has undergone a series of organizational changes and “transformations” in the decade since the firm nearly collapsed amid the credit crisis. AIG’s businesses are divided into three segments: general insurance, life and retirement, and other. AIG’s other segment includes its run-off lines of business.

Operating revenues totaled \$47.4 billion in 2022 [down 4.9% from \$49.9 billion in 2021], of which premiums accounted for 67%, net investment income for 25%, policy fees for 6%, and other revenues for the remaining 2%.

AIG’s general insurance division produced net written premiums of \$25.5 billion in 2022 [down from \$25.9 billion in 2021]. Commercial lines of coverage accounted for 74% of premium volume in 2021, and personal lines for the remaining 26%. Within the commercial business, liability insurance accounted for 21% of commercial lines written premiums in 2022, while financial lines accounted for 24%, property lines for 18%, and special risks for the remaining 36%. Liability insurance products underwritten include general liability, commercial auto liability, workers’ compensation, excess casualty, and crisis management insurance coverage. AIG also provides risk management and other customized structured programs. Property lines of coverage offered include those that protect commercial, industrial, and energy-related properties from man-made and natural disasters, including business interruption protection. The personal lines group primarily underwrites personal auto and homeowners’ coverage and an array of personal accident and health insurance protection.

The life and retirement segment has four sub-groups: individual retirement [which accounted for 46% of this segment’s adjusted pre-tax profits in 2022], group retirement [28%], life insurance [13%], and institutional markets [13%]. Retirement products include single and flexible premium fixed annuities and single premium immediate and deferred income annuities, where AIG is an industry leader in the bank distribution channel. AIG also distributes variable annuities through banks, wirehouses, and regional and independent broker-dealers. Group retirement products are marketed under the VALIC brand and include fixed and variable annuities, mutual funds, and plan administrative and compliance services. The mutual fund and advisor group includes AIG’s mutual fund and administration and servicing operations. Life insurance products include term life and universal life insurance, primarily in the U.S. International products include term and whole life insurance, supplemental health and cancer, and critical illness insurance. The institutional markets group provides stable value wrap products, structured settlement and terminal funding annuities, high net worth products, corporate and bank-owned life insurance, and guaranteed investment contracts.

IMPACT OF MAJOR DEVELOPMENTS. AIG’s issues began more than a decade ago during investigations conducted by the New York Attorney General and the SEC into its use of non-traditional insurance products and certain reinsurance transactions and culminated in a number of events, including the resignation of CEO Hank Greenberg; a write-down against earnings from 2000-2004 of nearly \$4 billion; and a write-down of shareholders’ equity of \$2.26 billion. During 2005, AIG also incurred after-tax charges of \$1.15 billion to settle numerous regulatory issues and \$1.19 billion to boost loss reserves.

To replenish its capital, AIG in May 2008 raised \$20 billion of new capital, including the sale of 196,710,525 common shares for \$7.47 billion. Those moves proved insufficient, and in September 2008, AIG was forced to accept an emergency line of credit from the Federal Reserve. To repay the Federal Reserve loan, AIG sold an array of assets for total proceeds of more than \$59 billion, including the sale of American Life Insurance Co. [ALICO] for \$16.2 billion, and AIA Group Ltd., via an IPO for gross proceeds of more than \$20.5 billion. AIG has also addressed the inadequacy of certain loss reserves through a costly reinsurance transaction undertaken in 2016 with Berkshire Hathaway’s reinsurance units.

AIG received federal aid valued at about \$182.3 billion and the U.S. Treasury controlled approximately 92% of the voting power of AIG common stock. By December 2012, the U.S. Treasury no longer had an equity ownership stake in AIG. The U.S. government realized a \$22.7 billion gain on its support of AIG. AIG was named a non-bank SIFI [systemically important financial institution] under the auspices of Dodd-Frank, but that designation was removed in late September 2017. AIG has also started making acquisitions, and in June 2018 acquired Bermuda-based reinsurer Validus Holdings [VR] for \$5.56 billion in cash.

During 2020 AIG made several other important strategic moves designed to streamline the organization, de-risk its balance sheet, and ramp up growth. AIG, on June 2, 2020, sold off 96.5% Fortitude Re to Carlyle Group [71.5%] and T&D Holdings, Inc. [25%] for proceeds of \$2.2 billion. AIG incurred a \$6.7 billion after-tax loss on the sale of Fortitude, the reinsurer of about \$30 billion of reserves from AIG’s legacy Life & Retirement run-off lines of business and \$4 billion General Insurance run-off reserves. In late October 2020, AIG unveiled plans to separate its Life & Retirement Services unit through the sale or initial public offering. AIG completed the sale of 12.4% of that unit, renamed Corebridge Financial Inc., in an IPO completed in the third quarter of 2022.

FINANCIAL TRENDS. The combined ratio is a key measure of property-casualty underwriting performance that combines the loss ratio [equal to loss and loss adjustment expenses divided by earned premiums], the expense ratio [derived by dividing underwriting expenses by net written premiums], and [sometimes] the dividend ratio [policyholder dividends divided by earned premiums]. A combined ratio of less than 100% indicates an underwriting profit, while one in excess of 100% points to an underwriting loss.

AIG’s combined ratio ended the first half of 2023 at 91.9% [including 4.0 points of catastrophe losses] versus 90.2% in 2022 interim [that included 3.1 points of catastrophe losses].

Corporate information

Investor contact

Q. J. McMillan [212 770 7000]

Office

1271 Avenue of the Americas, New York, New York, 10020

Telephone

212 770 7000

Fax

N/A

Website

www.aig.com

Officers

Global Chief Investment Officer

E. A. Rocha

VP & Chief Accounting Officer

K. Carbone

Executive VP, Head of Global Business Operations & IT and Chief Digital Officer

C. E. Wade

EVP, Chief HR and Diversity Officer, Int. Gen. Counsel, Corporate Sec. & Head of Gov. Affairs
R. E. Glazer

Executive VP & CFO
S. R. Purtill

Chairman, CEO & President
P. S. Zaffino

Board Members

D. M. Murphy

J. Cole

J. G. Rice

L. A. Mills

L. Fato

P. Bergamaschi

P. R. Porrino

P. S. Zaffino

T. M. Vaughan

V. A. Wittman

W. D. Cornwell

Domicile

Delaware

Founded

1919

Employees

26,200

Stockholders

19,509

Auditor

PricewaterhouseCoopers LLP

American International Group, Inc.

Quantitative Evaluations						
Fair Value Rank	1	2	3	4	5	
	LOWEST		HIGHEST			
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].					
Fair Value Calculation	USD	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that AIG is undervalued by USD 10.28 or 17.27%				
Volatility	LOW		AVERAGE	HIGH		
Technical Evaluation	NEUTRAL	Since August, 2023, the technical indicators for AIG have been NEUTRAL"				
Insider Activity	UNFAVORABLE		NEUTRAL	FAVORABLE		

Expanded Ratio Analysis				
	2022	2021	2020	2019
P/E Ratio	13.90	11.11	15.02	11.18
Price/Tangible Book Value	1.33	0.77	0.53	0.73
% LT Debt to Capitalization	35.53	30.08	35.50	34.39
Avg. Diluted Shares Outstg. [M]	787.94	864.88	869.31	889.51
Figures based on fiscal year-end price				

Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		9.46	45.33	11.05
Ratio Analysis (Annual Avg.)				
% LT Debt to Capitalization		35.53	33.70	34.62
Return on Equity [%]		20.29	8.74	6.60
Operating Margin [%]		19.99	8.53	6.83

Company Financials Fiscal year ending Dec 31										
Per Share Data (USD)	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	47.52	74.09	71.36	69.91	59.91	70.60	75.12	73.74	76.63	67.62
Operating Earnings	20.74	12.92	3.15	7.42	2.34	3.12	0.23	4.31	8.31	7.66
Earnings	13.01	10.82	-6.88	3.69	0.04	-6.54	-0.70	1.65	5.24	6.08
Dividends	1.28	1.28	1.28	1.28	1.28	1.28	1.28	0.81	0.50	0.20
Payout Ratio (%)	9.84	11.84	NM	33.93	NM	NM	NM	46.81	9.46	3.24
Prices: High	65.73	62.54	56.42	58.66	65.05	67.47	67.03	64.93	56.79	53.33
Prices: Low	47.05	36.80	16.07	38.40	36.16	57.85	48.41	48.68	46.80	34.46
P/E Ratio: High	14.40	12.20	22.40	12.80	55.60	28.80	NM	29.60	12.40	11.70
P/E Ratio: Low	10.30	7.20	6.40	8.40	30.90	24.70	NM	22.20	10.20	7.60
Income Statement Analysis (Million USD)										
Net Life Insurance In Force	934,140	917,274	894,161	921,318	866,228	859,014	851,629	874,918	853,513	825,158
Premium Income	34,829	34,310	31,440	33,576	33,405	34,309	37,125	39,410	39,869	39,839
Other Revenue	9,852	3,188	-1,693	1,316	945.00	1,106	139.00	4,733	7,899	11,931
Total Revenue	56,418	52,049	43,337	49,317	47,590	49,448	51,209	58,239	63,587	67,741
Pretax Income	14,282	12,099	-7,293	5,287	257.00	1,466	-74.00	3,281	10,501	9,368
Net Operating Income	16,343	11,174	2,737	6,600	2,131	2,902	251.00	5,749	12,031	11,341
Net Income	10,276	9,388	NM	3,348	NM	NM	NM	2,196	7,529	9,085
Balance Sheet and Other Financial Data (Million USD)										
Cash & Equivalent	2,043	2,198	2,827	2,856	2,873	2,362	1,868	1,629	1,758	2,241
Investment Assets: Bonds	230,641	283,480	276,787	257,768	240,806	251,764	255,535	265,027	279,571	280,897
Investment Assets: Loans	42,618	40,612	40,384	42,517	39,096	33,747	28,676	24,654	19,757	15,994
Investment Assets: Total	303,781	355,502	357,296	335,025	312,175	321,253	323,141	331,957	348,839	350,123
Deferred Policy Costs	15,518	10,514	9,805	11,207	12,694	10,994	11,042	11,115	9,827	9,436
Total Assets	526,634	596,112	586,481	525,064	491,984	498,301	498,264	496,842	515,581	541,329
Insurance Annuity Liability	214,918	210,430	205,137	198,930	186,670	180,570	178,409	250,327	249,291	249,299
Unearned Premiums	18,338	19,313	18,660	18,269	19,248	19,030	19,634	21,318	21,324	21,953
Debt	28,230	31,363	38,534	35,350	34,540	31,640	30,912	29,249	31,217	41,693
Common Equity	39,517	65,471	65,877	65,190	56,361	65,171	76,300	89,658	106,898	100,470
Property & Casualty: Combined	91.90	95.80	104.30	99.60	111.40	117.30	118.90	110.10	100.00	101.60
% Return on Revenue	18.21	18.04	-13.72	6.79	-0.01	-12.30	-1.66	3.77	11.84	13.41
% Return on Equity	20.30	14.60	-8.70	6.60	0.20	-8.50	-0.30	2.30	7.30	9.00
Premium/Annuity Revenue	34,829	34,310	31,440	33,576	33,405	34,309	37,125	39,410	39,869	39,839

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

American International Group, Inc.**Sub-Industry Outlook**

CFRA's fundamental outlook for the multi-line insurance sub-industry is positive. Multi-line carriers are positioned to benefit from what we view as continued favorable long-term demand trends for savings and retirement products, despite the near-term pressures brought on by a decline in asset values. This group's stock performance is also heavily influenced by company-specific issues, as several companies in this space are undergoing restructuring and others have been the focus of merger and acquisition activity.

CFRA estimates that property-casualty written premium growth will likely be about 7%-10% in 2023 and by 6% to 10% in 2024 versus written premium growth of 8.3% reported in 2022 [that was in line with our forecast of a 7%-10% rise], above the 8% rise in 2021 and the 2.5% rate of written premium growth produced in 2020 and the 3.4% posted in 2019. These forecasted rates of growth reflect high-single-digit rates of growth in the personal lines segment [which accounts for about half of industry premiums] and mid- to high-single-digit premium growth in the commercial lines segment, owing to a firming of rates for most lines of coverage.

Underwriting results in 2022 reflected many of these trends. Earned premiums rose by around 8.3% and net investment advanced by around 26% year-over-year during 2022. Operating profitability in many segments of the property-casualty industry is heavily influenced by the level of weather and catastrophe losses, and recently, by Covid-19 claims. Higher catastrophe claims and a broad-based increase in claim cost inflation across many lines of coverage led to an erosion in underwriting profitability in 2022, and a pre-tax underwriting loss of \$26.9 billion in 2022 contrasted with a pre-tax underwriting loss of \$3.8 billion in 2021. As a result, the combined [loss and expense] ratio, a key underwriting metric, eroded to 102.7% in 2022 from 99.6% in 2021, 98.8% in 2020, and 99.0% in 2019. This compares to 99.3% in 2018, an unprofitable 103.9% in 2017, 100.8% in 2016, and 97.9% in

2015.

Many multi-line insurers also underwrite life and health insurance, annuities, and offer an array of savings and investment products. Evidence of the industry's exposure to spreads-based products can be seen in the life insurance industry's business mix. In 2022, individual and group annuities accounted for more than 49% of the industry's premium base, while group accident and health accounted for approximately 27%, group and individual life insurance for 23%, and other types of policies for the remaining 1%.

Historically, multi-line insurers have underwritten an array of life, health, and property-casualty insurance. The theory behind this broad-based strategy was that a loss in one line would be offset by a profit in another line. This diversified approach was not met with great enthusiasm by investors, who accorded the shares of most multi-line insurers relatively low P/E multiples. We are seeing a divergent trend among multi-line insurers, as some are streamlining their operating structures and focus, while others have retained their multi-line roots and are pursuing a more diversified strategy.

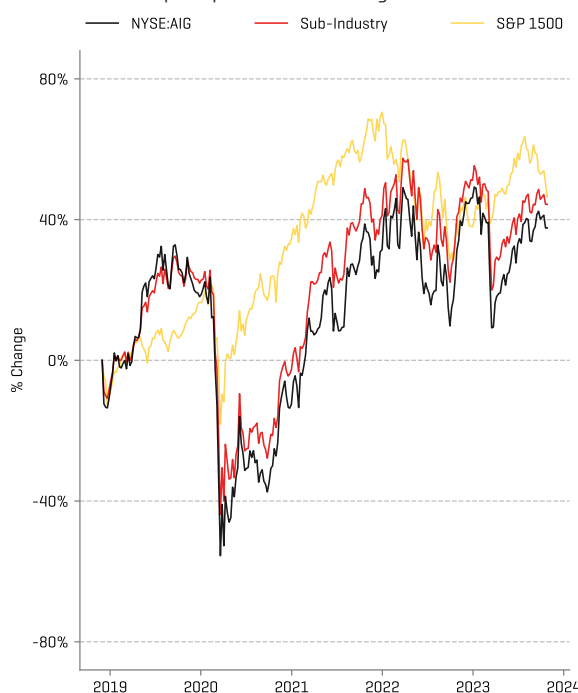
During 2022, the S&P Multi-Line Insurance Index rose by 7.1%, outperforming the S&P 1500, which fell by 19.1%. Year-to-date through August 11, 2023, the sub-industry index declined by 2.6%, while the S&P 1500 advanced by 15.7%.

/ Catherine Seifert

Industry Performance**GICS Sector: Financials****Sub-Industry: Multi-line Insurance**

Based on S&P 1500 Indexes

Five-Year market price performance through Oct 28, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.

All Sector & Sub-Industry information is based on the Global Industry Classification Standard [GICS].

Past performance is not an indication of future performance and should not be relied upon as such.

Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Multi-line Insurance Peer Group*: Multi-line Insurance

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
American International Group, Inc.	AIG	NYSE	USD	60.85	43,319.0	-0.7	12.2	11.0	69.81	2.4	11.2	32.0
Assurant, Inc.	AIZ	NYSE	USD	148.71	7,885.0	1.7	8.8	14.0	114.72	1.9	7.7	31.4
Atlantic American Corporation	AAME	NasdaqGM	USD	1.88	38.0	-0.5	-37.5	147.0	N/A	1.1	0.6	25.6
Horace Mann Educators Corporation	HMN	NYSE	USD	31.67	1,293.0	6.4	-16.4	NM	N/A	4.2	-2.1	15.6
The Hartford Financial Services Group, Inc.	HIG	NYSE	USD	71.90	21,988.0	-0.2	3.8	10.0	N/A	2.4	14.2	23.5

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.

NA- Not Available; NM- Not Meaningful.

Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

American International Group, Inc.

Analyst Research Notes and other Company News

August 02, 2023

11:04 AM ET... CFRA Keeps Buy Opinion on Shares of American International Group, Inc. [AIG 61.27****]:

We raise our 12-month target by \$6 to \$72, valuing AIG shares at 8.1x our newly initiated 2025 operating EPS estimate of \$8.85 and at 9.5x our 2024 EPS estimate of \$7.60 (trimmed by \$0.10 today), vs. the shares' three-year average forward multiple of 10x and a peer average of 12.2x. We lift our 2023 EPS view by \$0.10 to \$6.70 after Q2 operating EPS of \$1.75 vs. \$1.39 topped our \$1.65 EPS estimate and the \$1.58 consensus view. This was due to 23% higher operating revenues amid 21% higher premiums and a 37% rise in investment income on strength in both life and property-casualty operations. While Q2 top-line growth is not likely a run rate, we lift our 2023 operating revenue forecast to a rise of 10%-17%, above many peers. At current levels, AIG shares (which currently yield 2.4%) trade at 8.1x our 2024 EPS estimate, a discount to peer and historical averages. We see strong insurance pricing and demand trends and progress on de-risking providing the shares with a catalyst to close the valuation gap to peers. / Catherine Seifert

May 24, 2023

12:12 AM ET... CFRA Keeps Buy Opinion on Shares of American International Group, Inc. [AIG 55.77****]:

We lift our 12-month target price by \$2 to \$66, valuing AIG shares at 10x our 2023 operating EPS estimate of \$6.60 (raised today by \$0.10) and 8.6x our 2024 operating EPS estimate of \$7.70 (upped by \$0.30), versus their one year average forward multiple of 9.6x and a peer average of 12.3x. AIG announced plans to sell its reinsurance unit, Validus Re, to RenaissanceRe Holdings Ltd. [RNR 196 ***] for \$2.99 billion in a transaction set to close in late 2023 that includes a provision entitling AIG to receive up to an additional \$1.5 billion in excess Validus Re equity and redundant reserves. We view this transaction positively, since it puts AIG farther along on its path of streamlining and lowering the volatility of its underwriting model. At current levels, AIG shares trade at 8.5x our 2023 operating EPS estimate, a discount to peer and historical averages. A shift to more stable and higher return lines of business will provide the shares with a catalyst close their valuation gap to peers, in our view. / Catherine Seifert

May 05, 2023

12:32 PM ET... CFRA Keeps Buy Opinion on Shares of American International Group, Inc. [AIG 54.17****]:

We trim our 12-month target by \$8 to \$64, valuing AIG shares at 8.6x our 2024 operating EPS estimate of \$7.40 and at 9.8x our 2023 EPS estimate of \$6.50 (raised today by \$0.20), vs. a one-year average forward multiple of 9.8x and a peer average of 11x. Q1 operating EPS of \$1.63 vs. \$1.49 topped our \$1.55 EPS estimate and the \$1.42 consensus forecast on 13% higher operating revenues amid 19% higher premiums, a 9% rise in investment income, and 4% lower fee revenues, partly offset by 22% higher expenses on 26% higher claim costs and an 18% rise in credited interest. EPS also benefited from 9.9% fewer shares on buybacks. Q1 written premium growth of 5% reflected disparate growth trends and the impact of a stronger dollar, but core U.S. commercial lines growth of 14% tops most peers, with an underlying combined ratio of 88.7% vs. 89.5%. Though AIG remains a "work in progress" with some execution risk to its turnaround, we think the strong Q1 results provide the shares (currently yielding 2.7%) with a catalyst. / Catherine Seifert

February 16, 2023

09:25 AM ET... CFRA Keeps Buy Opinion on Shares of American International Group [AIG 61.83****]:

We keep our 12-month target price of \$72, or 9.7x our 2024 operating EPS estimate of \$7.40 and 11.4x our 2023 operating EPS estimate of \$6.30, versus the shares' 10-year average forward multiple of 11.2x, a peer average of 11.6x. Q4 operating EPS of \$1.36 versus \$1.58 topped our \$1.35 EPS estimate, the \$1.28 consensus view, largely due to improved underwriting profitability in General Insurance, evidenced by the Q4 combined ratio of 89.9% versus 92.4%, better than peer averages, as risk-reducing steps AIG has taken are yielding results. Underlying results (before catastrophes) also improved, to 88.4% from 89.8%. Full year operating EPS of \$4.55 versus \$5.12 topped our \$4.50 EPS estimate, the \$5.48 consensus view on similar drivers, aided by 8.9% fewer shares on buybacks. We see 5% to 8% higher operating revenues in 2023, and 4% to 7% growth in 2024. Currently trading at 9.8x our 2023 EPS estimate and yielding 2.1%, with improved underwriting as a catalyst, we view the shares as undervalued versus peers. / Catherine Seifert

January 31, 2023

09:40 AM ET... CFRA Keeps Buy Opinion on Shares of American International Group, Inc. [AIG 63.17****]:

We raise our 12-month target price by \$5 to \$72, valuing AIG shares at 9.7x our newly initiated 2024 operating EPS estimate of \$7.40 and at 11.4x our 2023 EPS estimate of \$6.30, versus the one-year average forward multiple of 10.5x and a peer average of 16.4x. We keep our 2022 EPS estimate and expect AIG to post Q4 operating EPS of \$1.35 when it reports results February 15. Last night, AIG announced that it terminated interim CFO Mark Lyons over violations related to "his confidentiality/non-disclosure obligations to the company" that AIG stressed were not related to its financial results. We applaud AIG's decision to elevate Sabra Purtill (Corebridge CIO and former AIG deputy CFO) to the interim CFO role, while current CFO Shane Fitzsimons remains on a medical leave. While the shares are a bit weak at the open today, we do not view this as a significant headwind. We applaud AIG's recent restructuring actions, but think the firm needs to better articulate how it can close its valuation gap to peers. / Catherine Seifert

November 02, 2022

10:44 AM ET... CFRA Keeps Buy Opinion on Shares of American International Group, Inc. [AIG 58.06****]:

We raise our 12-month target price by \$5 to \$67, valuing AIG shares at 10.6x our '23 operating EPS estimate of \$6.30, in line with their one-year average forward multiple, but below the 14.6x peer group average, reflecting AIG's ongoing transition. We cut our '22 EPS estimate by \$0.29 to \$4.50 after AIG posted Q2 operating EPS of \$0.66 versus \$0.97 on lower alternative income, offset by improved underwriting results despite higher industry-wide catastrophes. We view '22 as a transitional year for AIG, as it spins off its life and retire unit into CoreBridge Financial and restructures its property-casualty underwriting unit. We see flat to 4% operating revenue growth in '22, with a 3% to 6% rise in '23. Currently trading at 9.2x our '23 EPS estimate, with dual catalysts of improved property-casualty underwriting trends (evidenced by the Q3 underlying combined ratio of 88.4% versus 90.5%) and more progress on its restructuring, we view the shares (which currently yield 2.2%) as undervalued versus peers. / Catherine Seifert

August 09, 2022

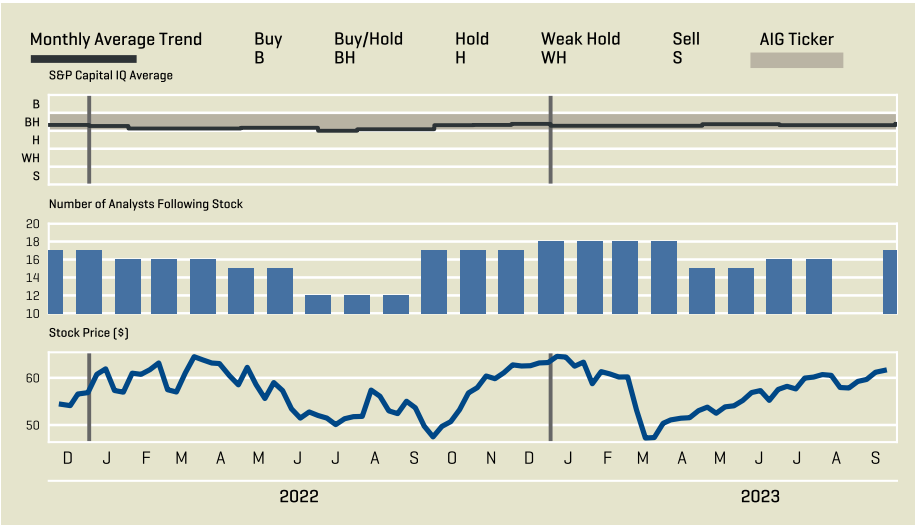
12:20 PM ET... CFRA Keeps Buy Opinion on Shares of American International Group, Inc. [AIG 52.71****]:

We cut our 12-month target price by \$8 to \$62, or 9.8x our 2023 operating EPS estimate of \$6.30 (upped by \$0.05) and 12.9x our 2022 operating EPS estimate of \$4.79 (cut by \$0.61). Q2 operating EPS of \$1.19 versus \$1.52 lagged our \$1.37 EPS estimate but beat the \$1.13 consensus forecast, as 29% lower investment income amid lower alternative investment results masked a 73% rise in pretax General Insurance underwriting profits, evidenced by the Q2 combined ratio of 87.4% versus 92.5%. Q2 net written premium growth of 8% reflected 10% commercial lines growth, some pullback in the personal lines unit. We now see 2022 operating revenues as flat to up 4% (on lower investment income), with growth of 3% to 6% in 2023. AIG's decision to postpone the Corebridge (life unit) IPO because of market conditions makes sense, but removes a near-term catalyst. That said, at 8.4x our 2023 EPS estimate versus a peer average of 13.4x, with improved PC insurance trends, we view the shares as undervalued versus peers. / Catherine Seifert

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

American International Group, Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	5	29	4	4
Buy/Hold	5	29	5	5
Hold	7	41	7	7
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	17	100	16	16

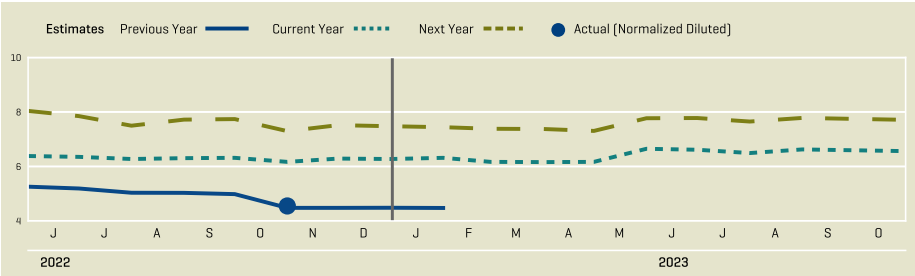
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that AIG will earn USD 6.56. For fiscal year 2024, analysts estimate that AIG's earnings per share will grow by 17.48% to USD 7.71.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	7.71	8.65	6.83	15	7.89
2023	6.56	6.95	6.20	15	9.27
2024 vs. 2023	▲ 17%	▲ 24%	▲ 10%	N/A%	▼ -15%
Q3'24	1.83	2.09	1.58	10	33.22
Q3'23	1.48	1.70	1.16	15	41.07
Q3'24 vs. Q3'23	▲ 24%	▲ 23%	▲ 35%	▼ -33%	▼ -19%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

American International Group, Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



American International Group, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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